



DIMITRIS PECHLIVANIDIS

# Re Protocol

Investor relations and business performance

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# *Blueprint* Re Protocol

 - English

A large, ancient stone castle with multiple towers and battlements, situated on a hillside overlooking a body of water. The sky is blue with some clouds, and the overall scene is dimly lit, suggesting dusk or dawn.

re

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## Section 1

# *Reinsurance And Re's Role*

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# Re Protocol At A Glance

Re is an onchain capital infrastructure protocol connected to regulated reinsurance. It gives capital allocators access to insurance underwriting returns while supplying fully collateralized capacity to regulated reinsurers. Licensed entities still control underwriting, claims, and capital release.

- 01 **For insurers** Adds fully collateralized capacity without replacing the licensed reinsurer.
- 02 **For capital providers** Packages insurance economics into senior and junior tokenized exposures.
- 03 **Operating outlook** \$260M in external tracked TVL and \$170M in reUSD market value as of start of August. Re's full capital base exceeds \$550M with the value of premium receivables updating every quarter.

Re turns stablecoin deposits into collateral for regulated reinsurance, giving insurers additional underwriting capacity. **reUSD** holds the senior claim on returns; **reUSDe** absorbs losses before reUSD, and receives the residual surplus after claims and fees.

## Capital conversion flow

- 01 **Stablecoin deposits**  
Onchain capital enters permissioned ICL vaults
- 02 **Insurance Capital Layers**  
Tokens coordinate a capital sleeve and risk position
- 03 **Recognized collateral**  
Surplus notes and trust accounts create insurance utility

## Legal bridge

reUSD receives senior accrual; reUSDe receives residual underwriting surplus after claims, fees and senior obligations.



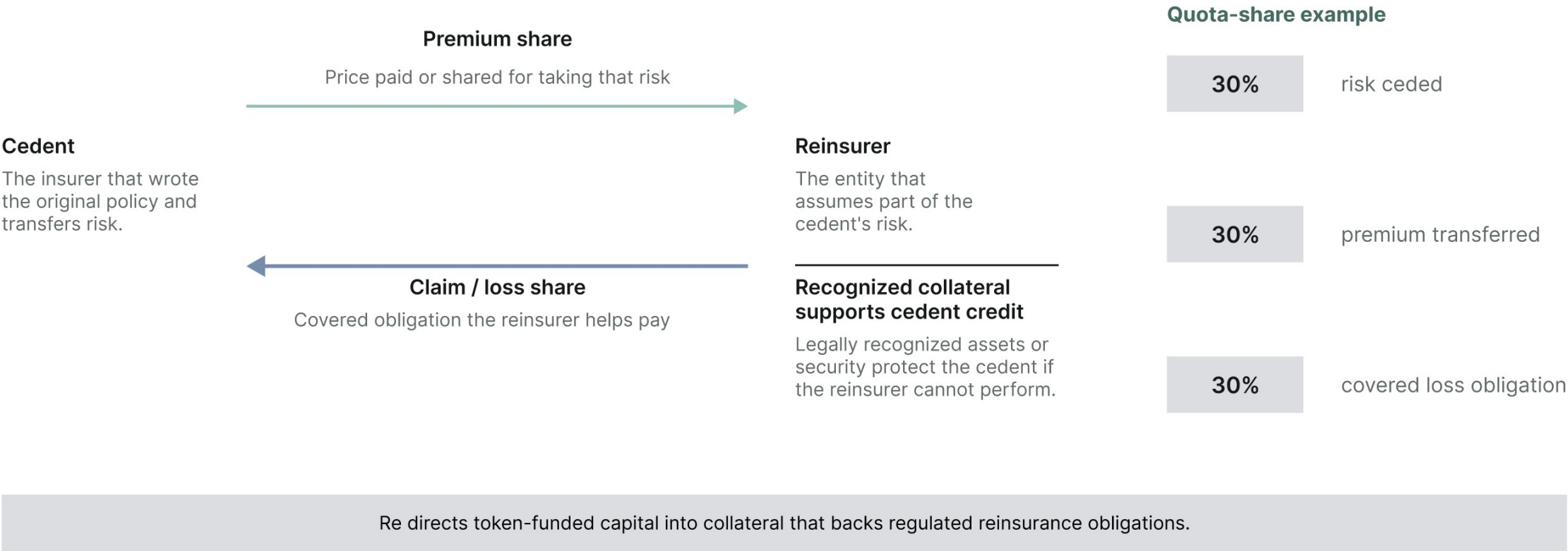
**reUSD**  
senior capital



**reUSDe**  
mezzanine capital

# Reinsurance Moves Risk

Insurers collect premiums to cover policyholders' losses. Reinsurance lets an insurer pay another insurer to absorb an agreed share of those claims, limiting the impact of large losses and freeing capacity to write more policies.

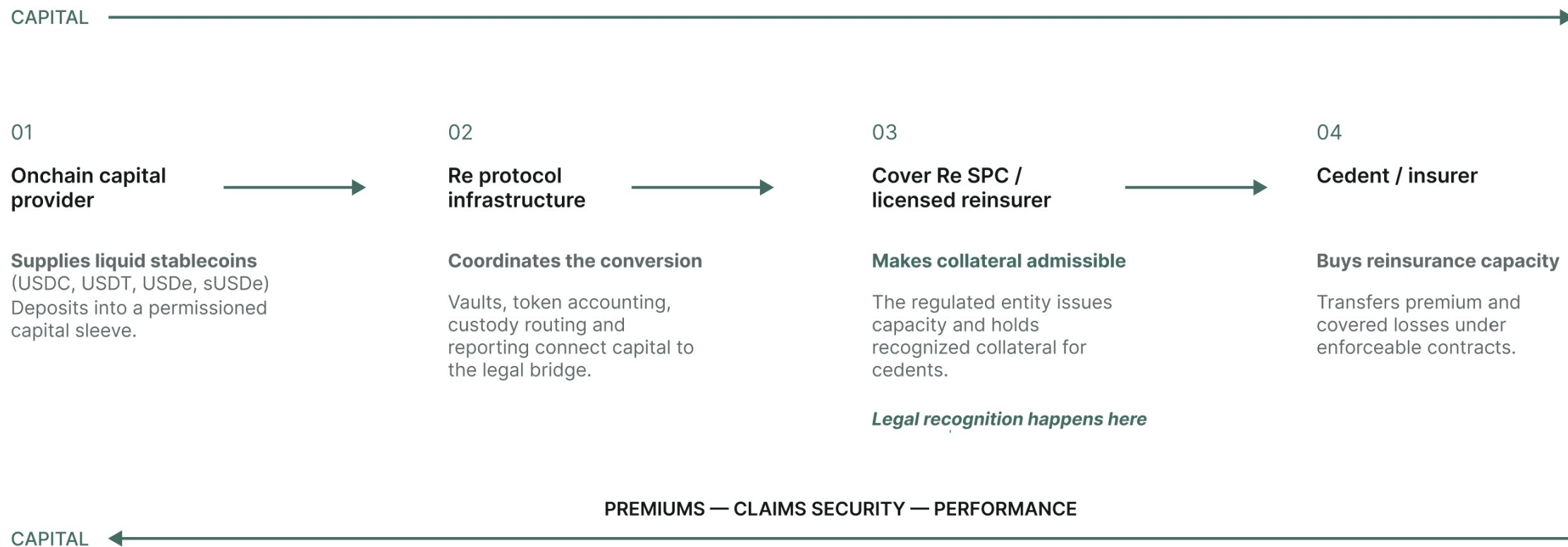


Source: NAIC reinsurance materials and Guy Carpenter collateral guidance; accessed July 2026.



# Stablecoins Meet Insurance Collateral

Liquid stablecoins do not become reinsurance collateral on their own. Re connects deposits to licensed entities and trust structures that make those assets eligible to back insurance obligations.

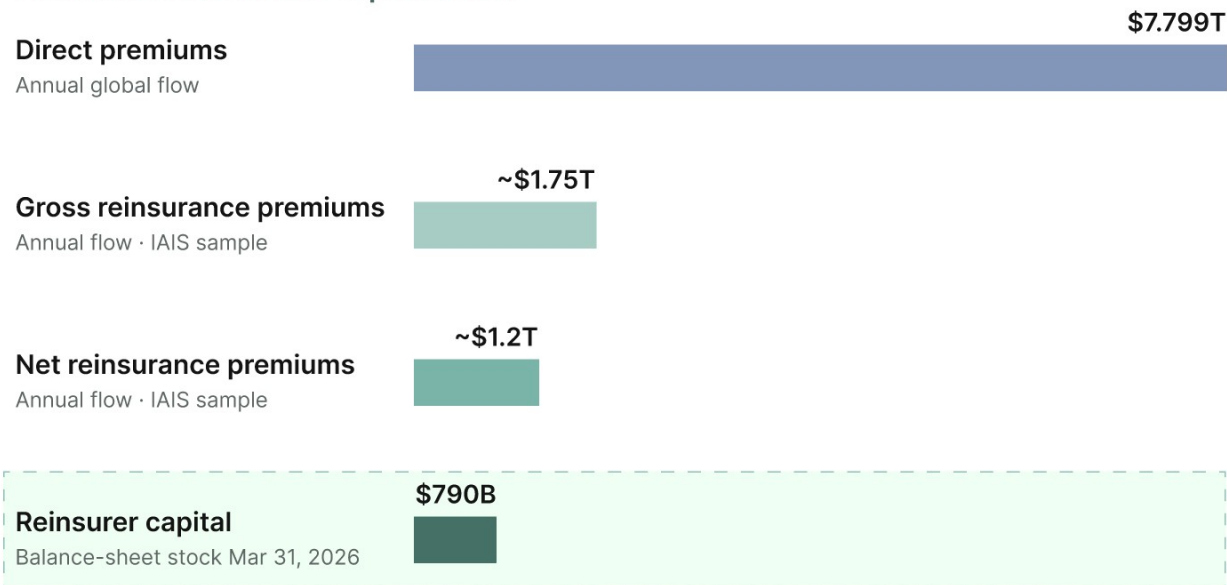


Deposits support reinsurance only after a licensed reinsurer turns them into collateral a cedent can accept.

# Reinsurer Capital Sets Scale

Premiums measure business written; capital sets how much risk a reinsurer can support. Global reinsurer capital reached an estimated \$790B on March 31, 2026.

## Premium flows versus capital stock



## Capture sensitivity

Share of \$790B reinsurer capital

|                                                                                           |         |
|-------------------------------------------------------------------------------------------|---------|
| 0.01%                                                                                     | \$79M   |
| 0.05%                                                                                     | \$395M  |
| 0.10%  | \$790M  |
| 0.50%                                                                                     | \$3.95B |
| 1.00%                                                                                     | \$7.90B |

0.10% = \$790M                      1.00% = \$7.90B

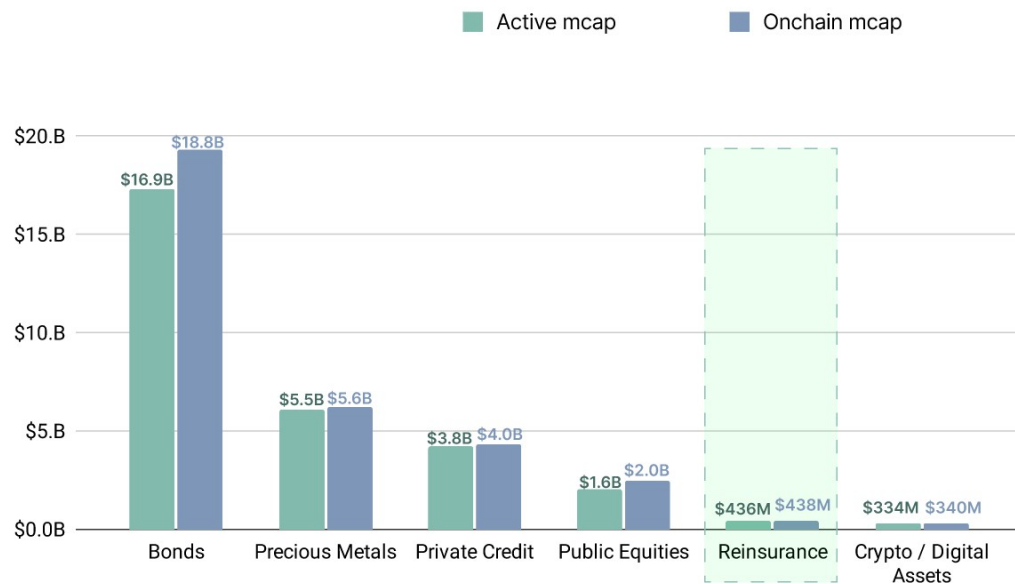
At the start of August 2026, Re's capital base is \$581M: \$82.8M onchain, \$179.4M offchain, and \$318.9M in premium receivables. Reaching \$790M would add \$208.8M, or 36%, to that base. The comparison is not statutory capital: receivables must first be collected, while deployed collateral must remain available to absorb claims.

# Reinsurance Is the Fifth-Largest Onchain RWA Segment

At the start of August, reinsurance reached \$436M in active market value and \$438M onchain, ranking fifth among RWA categories after growing 32% since end-April.

## RWA asset-group ranking

Active and onchain market capitalization

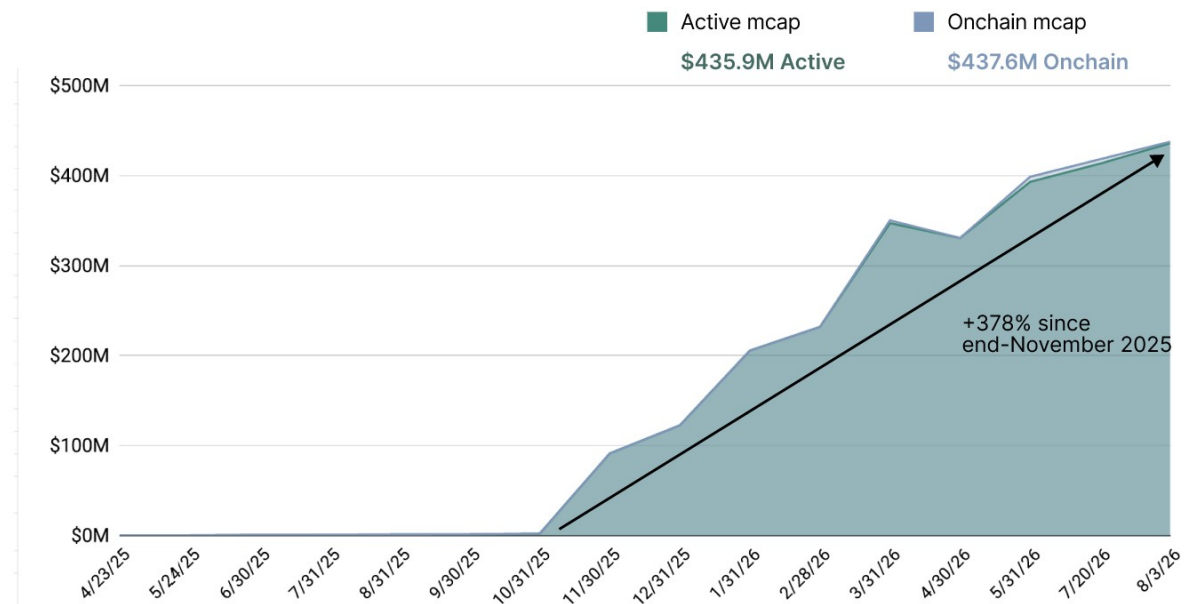


## Two platforms share the pie

Re accounts for roughly 43% through reUSD and reUSDe. ONyc represents the remaining 57% of active market value.

## Reinsurance market value

Full history from first nonzero observation



## A 4.8x increase in eight months

Active market value rose from \$91.2M at end-November to approximately \$436M by the start of August, an increase of 378%.

## Section 2

# *Protocol Stack And Capital Flow*

The Three-Layer Stack

Insurance Capital Layers

reUSD: Senior Capital

reUSDe: Mezzanine Capital

Cash And Losses Follow Different Waterfalls



# The Three-Layer Stack

Re separates token operations, legal capital transfer, and regulated underwriting. Smart contracts manage the token; signed agreements and licensed entities turn deposits into insurance collateral.

## Support Infrastructure

**Fireblocks**

Custody Sweep

01 Onchain ICL / token layer

**Users + ICL contracts**

Deposits, mints, burns, NAV feeds, redemption queues, role gates and token accounting.

**User-facing product**

Mints the token, updates NAV and processes redemption requests onchain.

↓ Draw / repay

**Chainlink**

Reported Data

02 Surplus-note legal bridge

**Surplus-note issuer**

Draw rights, repayment terms, note economics and the capital link to a licensed reinsurer.

**Capital transfer**

Signed surplus notes move ICL capital to a licensed reinsurer and define repayment.

↓ Capital / returns



**The Network Firm**

Offchain Verification

03 Regulated trust & reinsurance layer

**Licensed reinsurer + trust bank**

Regulation 114 trust collateral, claim funding, reserve release and reinsurer obligations.

**Insurance result**

Trust collateral supports policies; premiums, claims & reserve release determine cash returned onchain.

## The Hybrid Design

Contracts coordinate.

Law collateralizes.

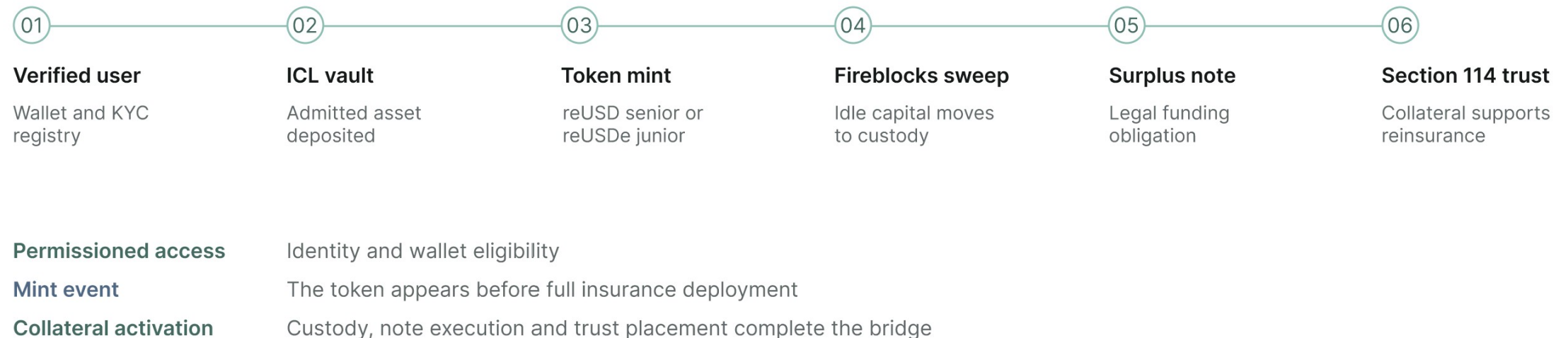
Trust accounts make capital admissible.

The token is one visible sleeve of a broader legal and operational machine.

# Insurance Capital Layers

An Insurance Capital Layer (ICL) is a permissioned vault tied to one token and one underwriting risk position. It can mint reUSD or reUSDe before custody, a surplus note, and trust placement move the deposit into recognized collateral.

## Capital Activation Path



**One Capital Sleeve - One vault, one token and one risk position move through identity, custody, legal funding and regulated collateral controls.**

The token records the claim. Custody, the surplus note, and the trust account make the deposit usable in reinsurance.



# *reUSD: Senior Capital*

reUSD sits last in the loss waterfall but does not promise immediate cash. Instant redemptions remain available while real-time capacity remains; depleted requests move into the quarterly queue.

## Asset Mechanics

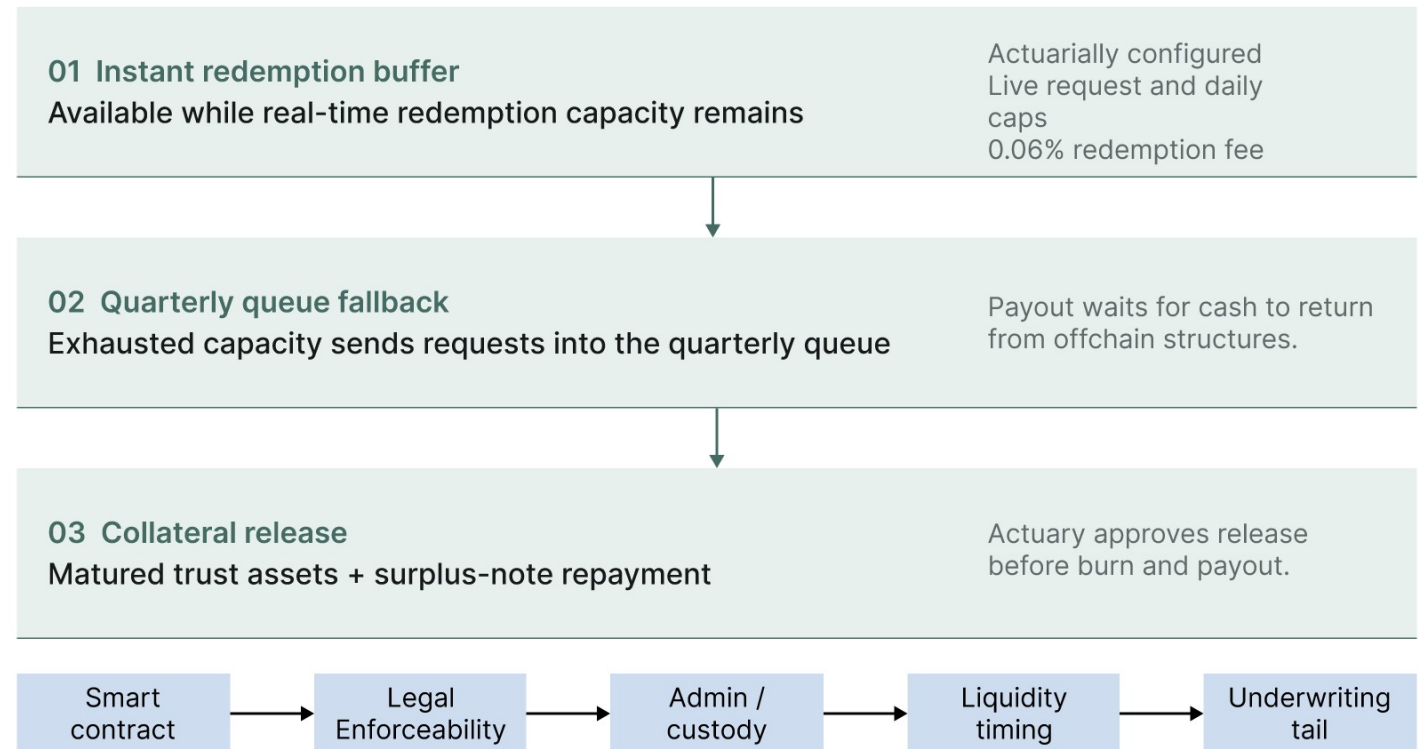
**Senior in losses.**  
**Conditional in liquidity.**

reUSD accrues senior NAV each day. Losses hit Cover Re equity first, then reUSDe; reUSD is reached only after both lower layers are exhausted. Instant liquidity depends on live redemption capacity.

## Liquidity Follows Assets

Seniority sets the loss order. Buffer capacity sets the redemption clock.

## The Redemption Liquidity Ladder



# *reUSDe: Mezzanine Capital*

reUSDe sits between reUSD and surplus-note capital. It receives residual underwriting profit but takes losses before the senior reUSD tranche.

## The underwriting-risk sleeve

reUSDe is economically leveraged to realized underwriting performance. It accepts lower seniority and slower exits for first claim on residual underwriting surplus.

- ☐ Claims & fees
- ☐ reUSD accrual
- ☐ reUSDe residual surplus

| Dimension      | reUSD                                     | reUSDe                                               |
|----------------|-------------------------------------------|------------------------------------------------------|
| Stack role     | Senior capital / regulatory collateral    | Mezzanine tranche / underwriting-risk sleeve         |
| Primary payoff | Daily senior accrual                      | Residual underwriting surplus                        |
| Loss position  | Protected by Cover Re equity, then reUSDe | Junior to reUSD; senior to surplus-note capital      |
| NAV logic      | Daily price accrual                       | Quarterly target NAV                                 |
| Liquidity      | Instant buffer, then queue / window       | Quarterly redemption windows                         |
| Core risk      | Liquidity mismatch and tail impairment    | Underwriting loss, slower exit, reserve-release risk |

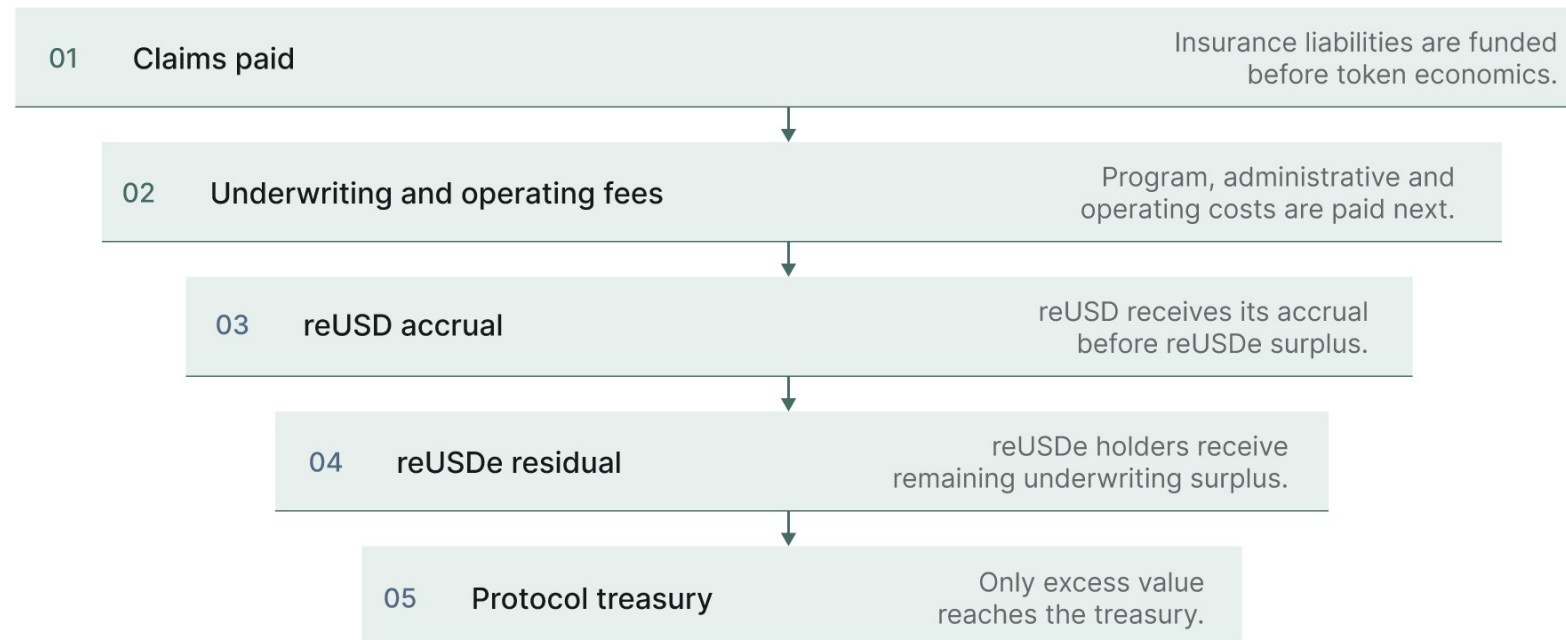
Higher upside sits closer to the claims layer.



# Cash And Losses Follow Different Waterfalls

Underwriting cash first pays claims and operating costs, then reUSD accrual and reUSDe surplus. Underwriting losses move in reverse: Cover Re equity first, reUSDe second, reUSD last.

## Economic Order



## Loss Absorption Order

1. Cover Re equity absorbs underwriting losses first.



2. reUSDe absorbs losses after Cover Re equity.



3. reUSD is reached only after both lower layers are exhausted.

Cash distribution and loss absorption are separate: claims and expenses precede token returns, while underwriting losses hit Cover Re equity, reUSDe and reUSD in that order.

## Section 3

# *Traction & Comparison Analysis*

Deposits Reached \$190M, Led By reUSD

Receivables Still Make Up 56% Of Re's Capital Base

reUSDe Yield Spiked, Then Returned Near 12%

Distribution Adds Liquidity And New Dependencies

ONyc AUM Added \$92M as Re Token Deposits Fell \$4M

ONyc's APY Sits Between Re's Senior And Mezzanine Sleeve

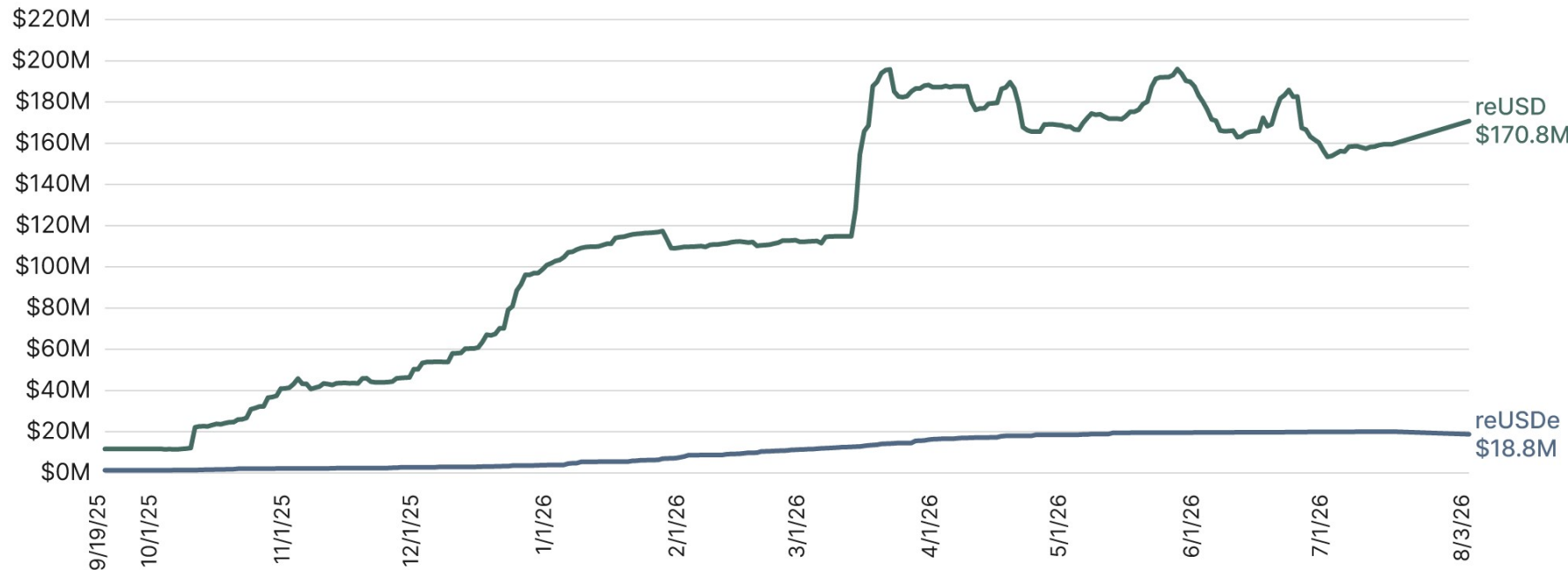
Re Has Broader DeFi Distribution Than OnRe



# Deposits Reached \$190M, Led By reUSD

Total deposits rose from \$13M in September 2025 to \$189.6M at the start of August 2026, after peaking at \$215.6M in late May. reUSD supplied most of the growth; reUSDe reached \$18.8M.

reUSD and reUSDe Deposits — reUSD deposits — reUSDe deposits



## Senior deposits dominate

\$170.8M, or 90% of token deposits, remains in reUSD.

## Junior deposits eased

reUSDe rose from \$1.3M at inception to \$18.8M at the start of August, after peaking at \$20.1M in late July.

## Deposits recovered in July

reUSD recovered after mid-July, while reUSDe eased from its late-July high.

### Senior growth

reUSD rose 14.7x since September 19

### Junior growth

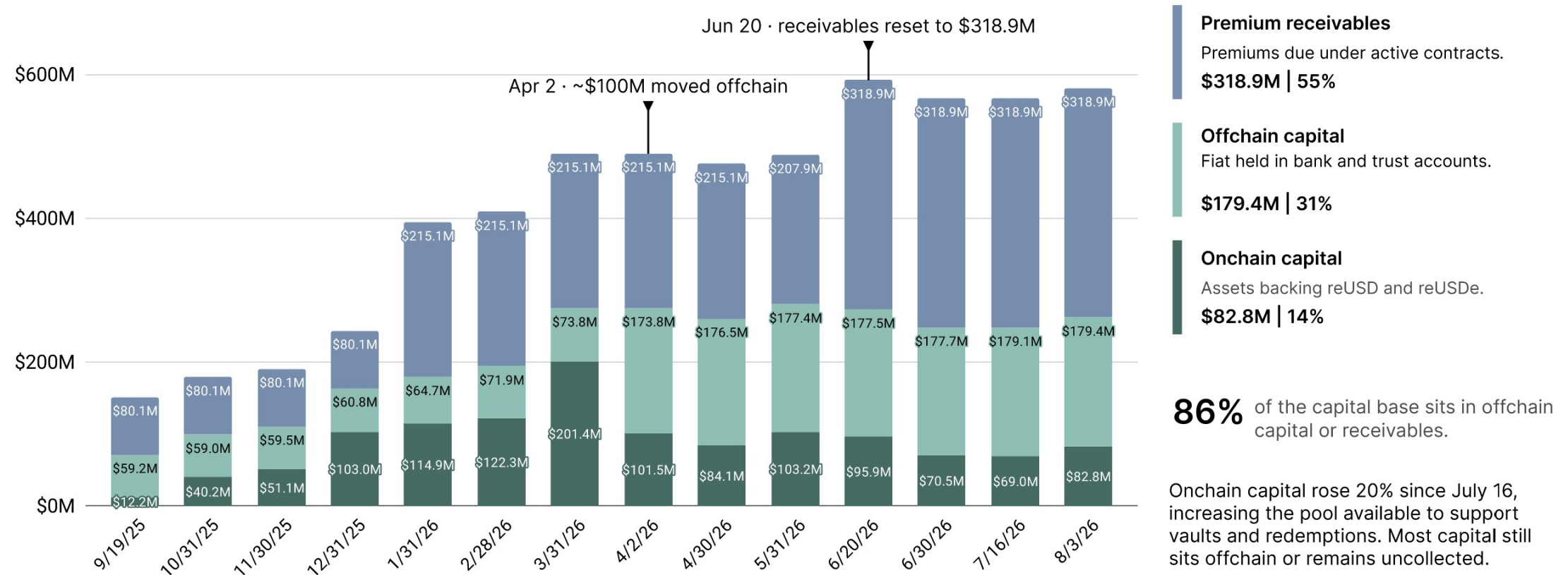
reUSDe rose 14.2x since September 19

### Combined deposits

\$189.6M, 12.1% below the May 27 peak

# Receivables Still Make Up 55% Of Re's Capital Base

Premium receivables are billed but uncollected premiums; offchain capital is collateral already deployed into insurance structures. At the start of August, they made up 86% of Re's \$581M capital base.



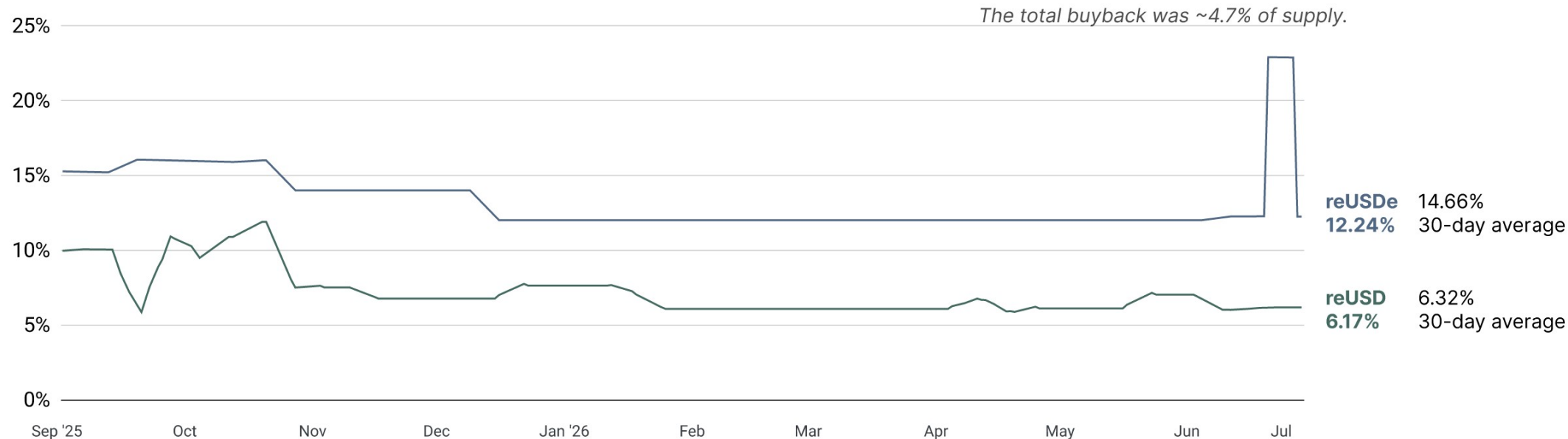
# *reUSDe Yield Spiked, Then Returned Near 12%*

After launch, reUSD APY stabilized at 6.2% after briefly offering 10%, while reUSDe moved from 15.3% to 12.2%. The reUSDe rate briefly jumped to 22.9% from July 8-14 before returning to its prior range.

*The spike was caused after Re bought ~677,906 reUSDe at a ~4% discount to NAV and burned them.*

## APY History

— reUSD APY — reUSDe APY

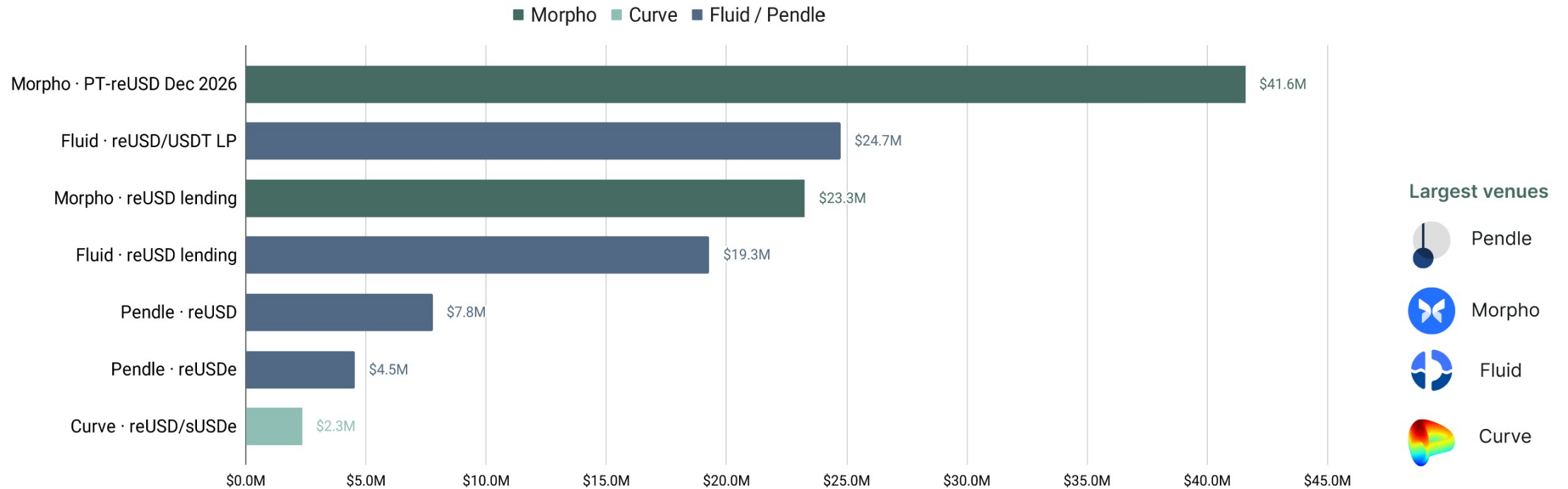


**reUSD (senior income)** Token price accrues daily from Re's reference-rate formula. Redemptions use the instant buffer first; larger exits wait for cash from matured trust assets.

**reUSDe (underwriting surplus)** Token price compounds toward a quarterly actuarial NAV. Holders receive surplus after claims, costs and reUSD accrual, then redeem in quarterly windows.

# *Distribution Adds Liquidity And New Dependencies*

Capital sits in these venues for four jobs: fixed-rate exposure, borrowing, swap liquidity and leveraged yield.



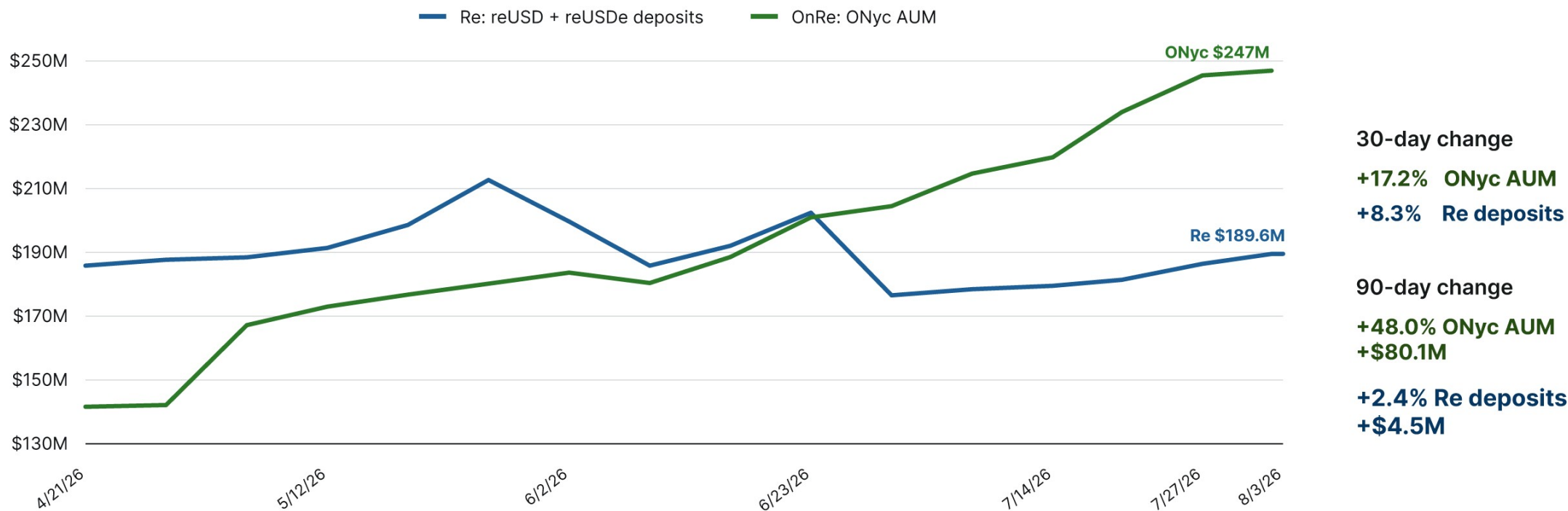
**Primary Exit Path** - Mint or redeem with Re, using the liquidity buffer first and actuarial capital release for larger exits.

**Why DeFi holds it** - Morpho and Fluid turn reUSD into collateral or borrowable liquidity. Pendle prices fixed maturities. Curve and Fluid LPs support swaps while earning fees and incentives.

Example: post reUSD as collateral on Morpho, borrow USDC or USDT, and deploy the borrowed stablecoins elsewhere. Re-borrowing or looping preserves reUSD exposure but adds borrow-rate, liquidation and smart-contract risk.

# ONyc Leads Token Value; Re Deposits Recovered in July

Re combines reUSD and reUSDe deposits; OnRe uses ONyc AUM. Both figures measure capital deposited into investor-facing tokens, excluding Re's broader capital base and OnRe's other activities. For context, Re and OnRe are based on entirely different design choices and risk models.



## ONyc leads at \$247M

ONyc AUM reached \$247M by August versus \$189.6M across reUSD and reUSDe. OnRe has only ONyc compared to Re's two token model so all the risk concentrates there.

## Re returned to growth

Re deposits rose \$14.6M over the latest matched 30 days; ONyc added \$36.3M.

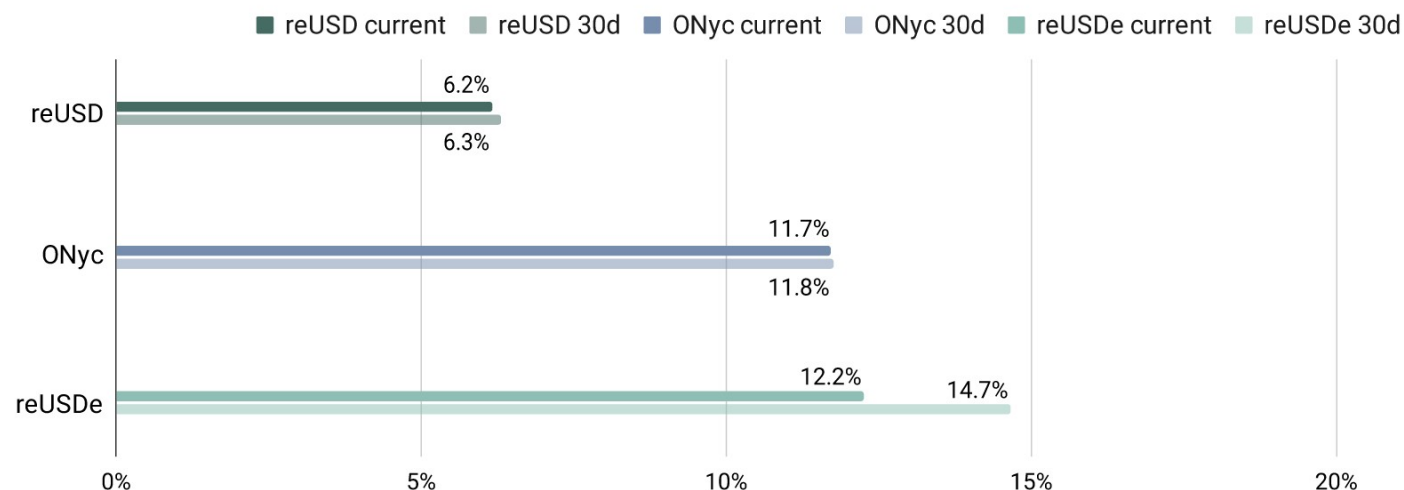
## Momentum still favors ONyc

Over 90 matched days, ONyc grew 48% while Re deposits rose 2.4%.

# ONyc's APY Sits Between Re's Senior And Mezzanine Sleeve

reUSD's 6.2% follows its senior reference-rate formula. ONyc's 11.7% combines reinsurance premium with collateral income. reUSDe is back at 12.2% after the brief July spike caused by the reUSDe buybacks.

## Current APY and 30-day average



## Claim and Exit Position

| Token  | Loss position                      | Primary exit                                      |
|--------|------------------------------------|---------------------------------------------------|
| reUSD  | Senior sleeve                      | Instant buffer, then queue or window              |
| ONyc   | Pooled NAV token. Single exposure. | Quarterly primary redemption; secondary liquidity |
| reUSDe | Mezzanine underwriting-risk sleeve | Quarterly pro-rata redemption                     |

## Annualized Supply-Side Fee Flow

Fees retained after protocol revenue, annualized over average tokenized capital. Before claims, reserves and underwriting losses.

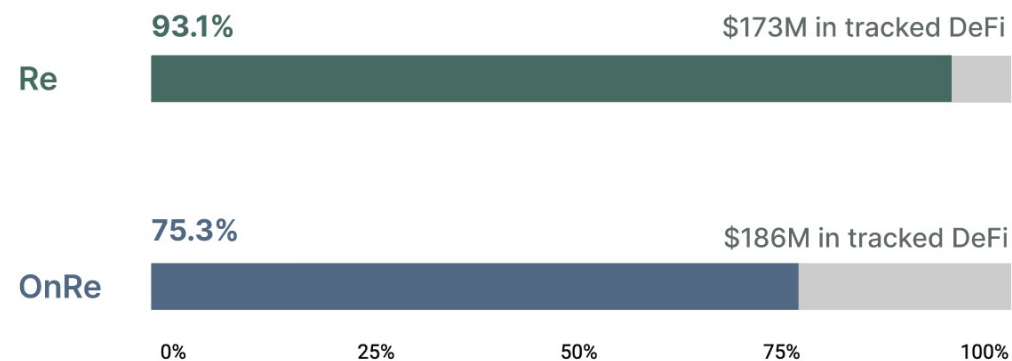


OnRe generated more supply-side fee flow per dollar of tokenized capital over the last 30 days: 11.1% annualized versus Re's 7.5%. The measure sits before claims, reserves, underwriting losses and token waterfalls.

# Re Has Broader DeFi Distribution Than OnRe

Active TVL is issued capital deployed in tracked lending markets, liquidity pools, and wrapper products. Re has \$173M spread across Pendle, Fluid and Morpho; OnRe has \$186M, with 70% on Kamino.

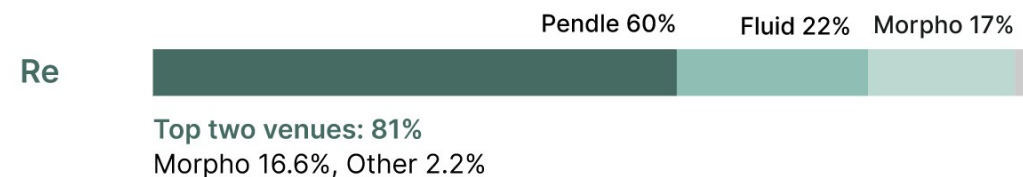
## Share of issued capital held in tracked DeFi venues



Re puts 93% of its issued base to work across DeFi, versus 75% for OnRe. The dollar totals are similar, but Re spreads capital across fixed-rate, lending and LP venues.

## Where tracked DeFi capital sits

Share of each protocol's tracked DeFi balances



**Why Pendle dominates for Re:** Pendle lets holders lock fixed rates, trade future yield, or provide liquidity with reUSD and reUSDe. Re awards Pendle YT and LP positions 30x points versus 5x for holding, keeping Pendle as Re's largest DeFi venue.



**Why Kamino dominates for OnRe:** Kamino accepts ONyc as collateral for borrowing and one-click looping. USDG borrowing rewards, Ethena multipliers and OnRe Points supported balances in the venue.

**What the mix shows** Re's mix spans fixed-rate trading, lending and liquidity pools. OnRe's mix leans on one leveraged-collateral venue. Retention after rewards fade and maturities roll will show which distribution is more durable.

## Section 4

# *RE Token*

RE Governance Scope

RE Tokenomics: Fixed Supply, Narrow Rights



# *RE Governance Scope*

\$RE governs protocol policy, including upgrades and committees, while regulated underwriting remains outside token-holder discretion.

## Protocol Governance

### Upgrades, standards, committees, reporting policy

Token holders can shape protocol rules, appoint or remove committees, approve technical changes and define how the protocol reports information.

01

Protocol  
upgrades

02

Standards  
& parameters

03

Committee  
mandates

04

Reporting  
policy

## Licensed Insurance Operations

### Claims, reserves, file-level underwriting, custody and reinsurance operations

Licensed entities, actuaries, administrators, custodians and trust counterparties make regulated operating decisions under separate legal duties.

Token holders set protocol rules.  
Licensed operators remain accountable for  
every insurance decision.

No token-holder discretion over underwriting or claims.



# *RE Tokenomics: Fixed Supply, Narrow Rights*

Ecosystem and reserve buckets account for 63% of disclosed allocation; contributors and investors account for 37%.

## Disclosed Allocation · Fixed 1B Supply



**Supply Design** No protocol inflation. Circulating supply still depends on ecosystem releases and contributor/investor vesting.

| Token role            | What holders can govern                                         | What holders own                                          |
|-----------------------|-----------------------------------------------------------------|-----------------------------------------------------------|
| Protocol policy       | Upgrades, standards, committees and reporting rules             | No file-level underwriting, claims or reserve decisions   |
| Supply and incentives | Staking parameters, liquidity programs, grants and integrations | Protocol-defined rewards; no dividends or revenue share   |
| Ownership             | Voting, delegation and execution controls                       | No equity, debt, reserves, collateral or insurance assets |

The value case rests on governance demand and incentive design, not a contractual claim on Re's insurance cash flows.



# **Section 5**

## *Risks & Investment Cases*

Three Sources of Risk

Bull / Bear Case



# Three Sources of Risk

Re combines insurance risk, delayed collateral release and offchain execution.

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## 01 Underwriting loss

Claims and reserve additions can consume the premium pool before reUSD, reUSDe or the treasury receive value.

### Mitigants

- Re equity first; reUSDe mezzanine buffer
- Actuarial pricing
- Reserve reporting
- Short-duration programs

### What can go wrong

Losses exceed premium and collateral income, or reserve strengthening erases expected surplus.

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## 02 Liquidity mismatch

Token holders can request cash before trust collateral and surplus notes mature.

### Mitigants

- Instant buffer
- Queue and windows
- Pro-rata redemption
- Maturity matching

### What can go wrong

Exit demand outruns released cash, pushing queues longer or secondary prices below NAV.

---

## 03 Offchain execution

Custodians, trust banks, note issuers, reinsurers, oracles and verifiers must keep the onchain record tied to legal assets.

### Mitigants

- Fireblocks custody
- Regulation 114 trusts
- Chainlink feeds
- Offchain verification

### What can go wrong

Balances, repayment rights or trust assets cannot be reconciled or enforced in stress scenarios.

# *Bull / Bear Case*

Re has already raised and distributed stablecoin capital. The protocol now wants a repeatable underwriting cycle; RE holders still rely on governance demand and incentive design rather than insurance cash flows.

## **Bull case**

### **A repeatable capital cycle**

Stablecoin deposits become admitted collateral that supports new policies. Timely premium collection and claims within reserves release cash for redemptions or another round of underwriting, turning one-time deposits into recurring insurance capacity.

## **Bear case**

### **Deposits can outrun good underwriting**

Re may raise deposits faster than insurers can place them into attractively priced policies. Idle capital would dilute returns; pressure to deploy could weaken risk selection; a heavy claims period would hit reserves and junior capital before deposit growth shows the damage.

## **Track record**

### **Operating history lowers uncertainty**

Each completed policy period adds a record of premium collection, claim settlement and capital release. A reliable record can support larger allocations, while the senior/junior split and DeFi integrations give investors more ways to hold, finance or exit the exposure.

## **Token case**

### **RE value capture stays indirect**

The current design gives RE holders no contractual claim on premiums, reserves, collateral or insurance cash flows. The insurance business can grow while token value still depends on governance demand, incentives and market liquidity.

# *Resources*

|             |                                                                                                  |
|-------------|--------------------------------------------------------------------------------------------------|
| Re Website  | <a href="https://re.xyz/home"><u>https://re.xyz/home</u></a>                                     |
| Re App      | <a href="https://app.re.xyz/"><u>https://app.re.xyz/</u></a>                                     |
| Re Insights | <a href="https://re.xyz/insights"><u>https://re.xyz/insights</u></a>                             |
| Re Docs     | <a href="https://docs.re.xyz/"><u>https://docs.re.xyz/</u></a>                                   |
| Re X        | <a href="https://x.com/re"><u>https://x.com/re</u></a>                                           |
| Re Thesis   | <a href="https://re.xyz/thesis"><u>https://re.xyz/thesis</u></a>                                 |
| Re Discord  | <a href="https://discord.com/invite/reprotocol"><u>https://discord.com/invite/reprotocol</u></a> |



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Independent research for DeFi teams and investors

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